

- Pursuant to the relevant provisions of the Memorandum of Understanding (MOU) By and Between the Philippine Stock Exchange, Inc. (PSE) and the Securities and Exchange Commission (SEC) on the Listing of the PSE Shares on the PSE Trading Board, the Commission has caused the immediate posting of the foregoing disclosure/s in the PSE Electronic Disclosure Generation Technology System (PSE EDGE). This directive is being issued primarily for the purpose of ensuring the timely disclosure of information relating to PSE as a listed company and should not be construed as an approval by the Commission of the item/s being disclosed nor of any of the acts done by the PSE or it intends to do in relation to this disclosure. The PSE shall remain responsible for complying with the other requirements as mandated in the Securities Regulation Code (SRC) and other relevant laws and their respective rules and regulations. This approval is for the purpose of ensuring the immediate posting of the disclosure. Nothing herein precludes the Commission as the statutory regulator of the PSE as a registered exchange, as Self-Regulatory Organization and as an issuer of registered securities, to seek further clarification and/or information and to take appropriate action on the matter, including the imposition of penalty in case of violation of the SRC and its Implementing Rules and Regulations. Finally, the Commission, acting as the Exchange under the MOU, may also impose penalty in case of violation of the relevant PSE Rules.

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-C

CURRENT REPORT UNDER SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17.2(c) THEREUNDER

1. Date of Report (Date of earliest event reported)
Dec 26, 2024
2. SEC Identification Number
AN092-002557
3. BIR Tax Identification No.
002-333-130
4. Exact name of issuer as specified in its charter
The Philippine Stock Exchange, Inc.
5. Province, country or other jurisdiction of incorporation
Republic of the Philippines
6. Industry Classification Code(SEC Use Only)
7. Address of principal office
6th to 10th Floors, PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City,
Taguig City
Postal Code
1634
8. Issuer's telephone number, including area code
(632) 88764888

9. Former name or former address, if changed since last report

Not Applicable

10. Securities registered pursuant to Sections 8 and 12 of the SRC or Sections 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common Shares (Fully Paid)	81,876,136
Common Shares (Subscribed)	196,664
Total	82,072,800

11. Indicate the item numbers reported herein

Item No. 9. Other Events

The Exchange does not warrant and holds no responsibility for the veracity of the facts and representations contained in all corporate disclosures, including financial reports. All data contained herein are prepared and submitted by the disclosing party to the Exchange, and are disseminated solely for purposes of information. Any questions on the data contained herein should be addressed directly to the Corporate Information Officer of the disclosing party.



The Philippine Stock Exchange, Inc. PSE

PSE Disclosure Form 5-1 - Substantial Acquisitions
References: SRC Rule 17 (SEC Form 17-C) and
Section 4.4 and/or Section 5 of the Revised Disclosure Rules

Subject of the Disclosure

Signing of agreements for the acquisition of Philippine Dealing System Holdings Corp. ("PDSHC")

Background/Description of the Disclosure

On December 26, 2024, the Company entered into agreements for the acquisition of shares of PDSHC:

1. Term Sheet with the Bankers Association of the Philippines ("BAP"), for itself and on behalf of BAP Data Exchange, Inc. and certain member-banks, whereby the Company agreed to purchase and BAP agreed to sell up to 1,802,094 common shares of stock of PDSHC, equivalent to 28.8335% of the total issued and outstanding stock of PDSHC;
2. Share Purchase Agreement with Singapore Exchange Limited (SGX"), whereby the Company agreed to purchase and SGX agreed to sell its 1,250,000 common shares of stock in PDSHC, equivalent to 20% of the total issued and outstanding stock of PDSHC;
3. Share Purchase Agreement with Whistler Technologies Services, Inc. ("WTSI"), whereby the Company agreed to purchase and WTSI agreed to sell its 500,000 common shares of stock in PDSHC, equivalent to 8% of the total issued and outstanding stock of PDSHC;
4. Share Purchase Agreement with San Miguel Corporation ("SMC"), whereby the Company agreed to purchase and SMC agreed to sell its 250,000 common shares of stock in PDSHC, equivalent to 4% of the total issued and outstanding stock of PDSHC;
5. Share Purchase Agreement with Investment House Association of the Philippines ("IHAP"), whereby the Company agreed to purchase and IHAP, for itself and on behalf of its members, agreed to sell 40,672 common shares of stock in PDSHC, equivalent to 0.65% of the total issued and outstanding stock of PDSHC;
6. Share Purchase Agreement with Golden Astra Capital Inc. ("Golden Astra"), whereby the Company agreed to purchase and Golden Astra agreed to sell its 22,536 common shares of stock in PDSHC, equivalent to 0.3606% of the total issued and outstanding stock of PDSHC; and
7. Term Sheet with Mizuho Bank Ltd. ("Mizuho"), whereby the Company agreed to purchase and Mizuho agreed to sell its 5,000 common shares of stock in PDSHC, equivalent to 0.08% of the total issued and outstanding stock of PDSHC.

Date of Approval by Board of Directors	Nov 27, 2024
Date of Approval by Stockholders	Jul 6, 2024
Other Relevant Regulatory Agency, if applicable	Securities and Exchange Commission
Date of Approval by Relevant Regulatory Agency	Dec 19, 2024

Rationale for the transaction including the benefits which are expected to be accrued to the Issuer as a result of the transaction

These transactions are part of PSE's plan to acquire up to 100% of PDSHC to achieve the following:

- Align the Philippine capital market with other markets globally which have a single exchange structure for fixed income and equities. The transaction results in a vertical integration of the depository function within the same group that operates trading, clearing and settlement of listed securities.
- Provide investors with a facility to trade fixed income, equities, and other products in a unified marketplace.
- Provide a single venue in the Philippines for listing and capital-raising, thereby making it easier for companies to tap both equities and debt markets.
- Enhance risk management and achieve operational efficiencies in securities trading, depository, clearing and settlement.
- Enable PSE to develop new products and services (e.g. derivatives) in light of the operational efficiencies and synergies expected to result from the vertical integration.
- Achieve a more efficient integrated market surveillance and monitoring for both equities and fixed income markets for investor protection.

Description of the transaction including the timetable for implementation and related regulatory requirements, if any

The transaction is subject to customary closing conditions such as the execution of definitive agreements, required corporate approvals, and delivery of closing certificates.

Identities of the parties to the transaction

Name	Nature of Business	Nature of any material relationship with the Issuer, their directors/officers or any of their affiliates
Bankers Association of the Philippines ("BAP"), for itself and on behalf of BAP Data Exchange, Inc. and certain member-banks	Association of universal and commercial banks and authorized representative of individual bank shareholders of PDSHC	None
Singapore Exchange Limited	Securities exchange	None
Whistler Technologies Services, Inc.	IT services	None
San Miguel Corporation	Operates in the food, beverage, packing, fuel, oil, energy, infrastructure and banking industries	Strategic stockholder of the Company, with board seat
Investment House Association of the Philippines ("IHAP")	A non-stock non-profit organization composed of investment houses	None
Golden Astra Capital, Inc.	Investment company	None
Mizuho Bank, Ltd.	Banking	None

Terms and conditions of the transaction

The nature and amount of consideration (e.g. price per share, the aggregate amount)

Php600.00 per share or a total purchase price of Php2,322,181,200.00 for all the above-named Sellers.

Basis upon which the amount of consideration or value of the transaction was determined

Based on PDSHC's enterprise value of Php3.75 Billion.

The number of shares to be acquired	3,870,302 common shares of PDSHC
Ratio/percentage to total outstanding capital stock	61.92

Terms of payment

Payable in full upon fulfillment of closing conditions by the transacting parties.

Conditions precedent to closing of the transaction, if any

Closing is subject to the customary closing conditions such as signing of definitive agreements, the required corporate approvals, and delivery of closing certificates.

Description of the company subject of the transaction

Nature and business

PDSHC is a holding company formed for the purpose of investing in or holding shares of stock in exchange as well as in one or more corporations which provides depository, registry, clearing, settlement, custody, securities borrowing and lending, information technology and other support services for the exchanges or for the other exchanges of securities or monetary transactions or platforms.

Discussion of major projects and investments

N/A

List of subsidiaries and affiliates, with percentage holdings

Name	% Ownership	
Philippine Dealing & Exchange Corp. (PDEX)	100	
Philippine Depository & Trust Corp. (PDTC)	97.72	

Capital structure

Authorized capital stock

Type of Security	Amount	Number of Shares	
Common shares	PhP750,000,000.00	7,500,000	

Subscribed Shares

Type of Security	Amount	Number of Shares	
Common shares	PhP625,000,000.00	6,250,000	

Paid-Up Capital

Amount	PhP625,000,000.00
Number of Shares	6,250,000

Issued Shares

Type of Security	Amount	Number of Shares	
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Common shares	Php625,000,000.00	6,250,000
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Outstanding Shares

Type of Security	Amount	Number of Shares
Common shares	Php625,000,000.00	6,250,000

Par Value

Type of Security	Amount
Common	Php100.00

Ownership Structure (including percentage holdings)

Name	Number of Shares	% Ownership
The Philippine Stock Exchange, Inc.	1,311,4391	20.983
Singapore Exchange Limited	1,250,000	20
Tata Consultancy Services Asia Pacific Pte. Ltd	500,000	8
Whistler Technologies Services, Inc.	500,000	8
San Miguel Corporation	250,000	4
AIA Philippines Life and General Insurance Company Inc.	250,000	4
Philippine National Bank	194,872	3.118
Citicorp Capital Philippines, Inc.	193,824	3.101
Development Bank of the Philippines	192,776	3.084
Financial Executives Institute of the Philippines Research and Development Foundation	192,776	3.084
Bank of the Philippine Islands	175,098	2.802
Metropolitan Bank & Trust Co.	146,309	2.341
BDO Unibank, Inc.	142,518	2.28
Land Bank of the Philippines	134,372	2.15
Rizal Commercial Banking Corp.	97,436	1.559
Social Security System	96,388	1.542
BAP Data Exchange, Inc.	49,991	0.8
Union Bank of the Philippines	49,436	0.791
Bankers Association of the Philippines	41,262	0.66
China Banking Corporation	36,936	0.591
Bank of Commerce	28,792	0.461
Philippine Bank of Communications	28,790	0.461
Philippine Trust Company	28,790	0.461
Security Bank Corporation	28,790	0.461
The Hong Kong and Shanghai Banking Corporation, Ltd.	28,790	0.461
Golden Astra Capital, Inc.	22,536	0.361
Bank of America NT & SA	21,290	0.341
Standard Chartered Bank	20,646	0.33
East West Banking Corp.	13,146	0.21
Maybank Philippines, Inc.	13,146	0.21
PDIC ITF Export and Industry Bank, Inc.	13,146	0.21

Philippine Veterans Bank	13,146	0.21
MUFG Bank, LTD.	12,500	0.2
Deutsche Bank AG	12,500	0.2
ING Bank N.V.	12,500	0.2
ANZ Bank	10,000	0.16
Philippine Deposit Insurance Corp.	8,146	0.13
United Overseas Bank – Westmont Bank	8,146	0.13
Asia United Bank	5,000	0.08
Bangkok Bank Public Co. Inc.	5,000	0.08
Bank of China (Manila Branch)	5,000	0.08
BDO Private Bank, Inc.	5,000	0.08
CTBC Bank (Philippines) Corp.	5,000	0.08
JP Morgan Chase Bank	5,000	0.08
Korea Exchange Bank	5,000	0.08
Mega International Commercial Bank Co. Ltd.	5,000	0.08
Mizuho Bank, Ltd. (formerly Mizuho Corporate Bank)	5,000	0.08
United Overseas Bank	5,000	0.08
IHAP ITF EBC Investment Inc.	4,031	0.064
IHAP ITF SMBC Metro Investment Corp.	4,031	0.064
IHAP ITF AB Capital and Investment Corp.	4,030	0.064
IHAP ITF BNP Paribas Investment (Phils) Inc.	4,030	0.064
IHAP ITF Investment & Capital Corp. of the Philippines	4,030	0.064
IHAP ITF Maybank ATR Kim Eng Capital Partners Inc. (now Maybank Capital, Inc.)	4,030	0.064
IHAP ITF Multinational Investment Bancorporation	4,030	0.064
IHAP ITF PCI Capital Corporation	4,030	0.064
IHAP ITF PentaCapital Investment Corporation	4,030	0.064
IHAP ITF Philippine Commercial Capital Inc.	4,030	0.064
IHAP ITF Philippine National Bank	4,030	0.064
IHAP ITF RCBC Capital Corporation	4,030	0.064
IHAP ITF Unicapital Inc.	4,030	0.064
IHAP ITF United Pacific Capital Corp.	4,030	0.064
Insular Investment Corporation	4,030	0.064
IHAP ITF Exchange Capital Corp.	3,855	0.062
IHAP ITF International Capital Corp.	3,855	0.062
IHAP ITF Abacus Capital & Investment Corp.	175	0.003
IHAP ITF Asian Alliance Investment Corp.	175	0.003
IHAP ITF Capital One Equities Corporation	175	0.003
IHAP ITF Citicorp Capital Philippines Inc.	175	0.003
IHAP ITF Export & Industry Bank Inc.	175	0.003
IHAP ITF Medco Asia Investment Corporation	175	0.003
IHAP ITF NMB Capital Inc.	175	0.003
IHAP ITF State Investment Trust Inc.	175	0.003
IHAP ITF Westmont Investment Corp.	175	0.003
Investment House Association of the Philippines	21	0

Cezar P. Consing	1	0
Ramon S. Monzon	1	0
Raoul Eduardo C. Romulo	1	0
Octavio Victor R. Espiritu	1	0
Paul A. Favila	1	0
Amit Kedia	1	0
Oscar S. Reyes	1	0
Emmanuel F. Dooc	1	0
Ramon P. Dizon	1	0

Board of Directors

Name	(Regular or Independent)	
Cezar P. Consing	Regular	
Ramon S. Monzon	Regular	
Raoul Eduardo C. Romulo	Regular	
Octavio Victor R. Espiritu	Regular	
Paul A. Favila	Regular	
Amit Kedia	Regular	
Oscar S. Reyes	Independent	
Emmanuel F. Dooc	Independent	
Ramon P. Dizon	Independent	

Principal Officers

Name	Position/Designation	
Cezar P. Consing	Chairman of the Board	
Ramon S. Monzon	President and CEO	
Elmer Serrano	Corporate Secretary	
Stephanie Zulueta	Finance Head/Treasurer	

Effect(s)/impact on the business, financial condition and operations of the Issuer

From a corporate standpoint, maintaining the business operations of both the PSE and PDS while reducing operational costs through synergies can result in greater business scalability and profitability. As the two companies have highly similar and integrated functions, there should be synergies that could be realized from an infrastructure standpoint, particularly on the technology side.

For the market, the single exchange setup helps achieve efficiencies, reduce risks, and facilitate the development of new products.

Other Relevant Information

Attached is the consolidated audited financial statements of PDSHC and its subsidiaries for the year ending December 31, 2023.

Filed on behalf by:

Name	Aissa Encarnacion
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Designation

Corporate Information Officer

COVER SHEET

A N 0 9 2 0 0 2 5 5 7

S.E.C. Registration Number

T H E P H I L I P P I N E
S T O C K
E X C H A N G E ,
I N C .

(Company's Full Name)

6 T H T O 1 0 T H F L O O R S , P S E T O W E R ,
5 T H A V E N U E C O R N E R 2 8 T H S T R E E T ,
B O N I F A C I O G L O B A L C I T Y ,
T A G U I G C I T Y

(Business Address: No. Street/City/Town/Province)

AISSA V. ENCARNACION
Corporate Secretary

Contact Person

(632) 8876-4888

Company Telephone Number

Month Day

SEC FORM 17-C

FORM TYPE

Month Day

Secondary License Type, if Applicable

Dept. Requiring this Doc.

Amended Articles Number/Section

Total No. of Stockholders

Total Amount of Borrowings

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document I.D.

Cashier

STAMPS

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-C

CURRENT REPORT UNDER SECTION 17
OF THE SECURITIES REGULATION CODE
AND SRC RULE 17.2(c) THEREUNDER

1. Date of Report (Date of earliest event reported): 26 December 2024
2. SEC Identification Number: AN092-002557
3. BIR Tax Identification No.: 002-333-130
4. Exact name of registrant as specified in its charter: The Philippine Stock Exchange, Inc.
5. Republic of the Philippines
Province, country or other jurisdiction of incorporation
6. (SEC Use Only)
Industry Classification Code:
7. 6th to 10th Floors, PSE Tower, 5th Avenue corner 28th Street Bonifacio Global City, Taguig
City 1634
Address of principal office Postal Code
8. (632) 88764888
Registrant's telephone number, including area code
9. Not Applicable
Former name or former address, if changed since last report
10. Securities registered pursuant to Sections 8 and 12 of the SRC

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common Shares (Fully Paid)	81,876,136
Common Shares (Subscribed)	196,664
Total	82,072,800

11. Indicate the item numbers reported herein:

Item No. 9. Other Events

The Company entered into separate agreements today with various shareholders of the Philippine Dealing System Holdings Corporation ("PDSHC") for the acquisition of 3,870,302 common shares of PDSHC at a purchase price of P600 per share or a total purchase price of P2,322,181,200.00 equivalent to 61.92% of the total outstanding capital stock of PDSHC. The acquisition will result in the Company owning 82.90% of the total outstanding capital stock of PDSHC. The acquisition shall be subject to customary closing conditions such as the signing of definitive agreements and required corporate approvals, among others.

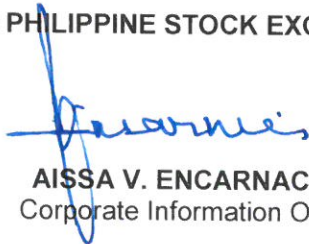
The acquisition, when completed, will provide a single venue for listing and capital raising activities for both equity and fixed income markets, and will strengthen investor protection and risk management while achieving operation efficiencies in securities trading, depository, clearing and settlement.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned hereunto duly authorized.

THE PHILIPPINE STOCK EXCHANGE, INC.

By:



AISSA V. ENCARNACION
Corporate Information Officer

C O V E R S H E E T
for
AUDITED FINANCIAL STATEMENTS

SEC Registration Number

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C O M P A N Y N A M E

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PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)

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Form Type

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Department requiring the report

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Secondary License Type, If Applicable

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C O M P A N Y I N F O R M A T I O N

Company's Email Address

--

Company's Telephone Number

8884-5000

Mobile Number

--

No. of Stockholders

28

Annual Meeting (Month / Day)

--

Fiscal Year (Month / Day)

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C O N T A C T P E R S O N I N F O R M A T I O N

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

Ma. Theresa B. Ravallo

Email Address

--

Telephone Number/s

8884-5000

Mobile Number

--

C O N T A C T P E R S O N ' s A D D R E S S

29th Floor, BDO Equitable Tower, 8751 Paseo de Roxas St., Makati City

NOTE 1 : In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2 : All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.



INDEPENDENT AUDITOR'S REPORT

The Board of Directors and Stockholders
Philippine Dealing System Holdings Corp.
29th Floor, BDO Equitable Tower
8751 Paseo de Roxas St.
Makati City

Report on the Audit of the Parent Company Financial Statements

Opinion

We have audited the parent company financial statements of Philippine Dealing System Holdings Corp. (the Parent Company), which comprise the parent company statements of financial position as at December 31, 2023 and 2022, and the parent company statements of comprehensive income, parent company statements of changes in equity and parent company statements of cash flows for the years then ended, and notes to the parent company financial statements, including material accounting policy information.

In our opinion, the accompanying parent company financial statements present fairly, in all material respects, the financial position of the Parent Company as at December 31, 2023 and 2022, and its financial performance and its cash flows for the years then ended in accordance with Philippine Financial Reporting Standards (PFRSs).

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Parent Company Financial Statements* section of our report. We are independent of the Parent Company in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audit of the parent company financial statements in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Parent Company Financial Statements

Management is responsible for the preparation and fair presentation of the parent company financial statements in accordance with PFRSs, and for such internal control as management determines is necessary to enable the preparation of parent company financial statements that are free from material misstatement, whether due to fraud or error.



In preparing the parent company financial statements, management is responsible for assessing the Parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Parent Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Parent Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Parent Company Financial Statements

Our objectives are to obtain reasonable assurance about whether the parent company financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these parent company financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the parent company financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Parent Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Parent Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Parent Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the parent company financial statements, including the disclosures, and whether the parent company financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

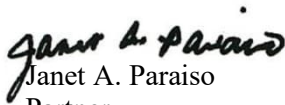


We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on the Supplementary Information Required Under Revenue Regulations 15-2010

Our audits were conducted for the purpose of forming an opinion on the parent company financial statements taken as a whole. The supplementary information required under Revenue Regulations 15-2010 in Note 24 to the parent company financial statements is presented for the purpose of filing with the Bureau of Internal Revenue and is not a required part of the parent company financial statements. Such information is the responsibility of the management of Philippine Dealing System Holdings Corp. The information has been subjected to the auditing procedures applied in our audit of the basic financial statements. In our opinion, the information is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

SYCIP GORRES VELAYO & CO.



Janet A. Paraiso
Partner

CPA Certificate No. 92305

Tax Identification No. 193-975-241

BOA/PRC Reg. No. 0001, August 25, 2021, valid until April 15, 2024

BIR Accreditation No. 08-001998-062-2023, October 23, 2023, valid until October 22, 2026

PTR No. 10079894, January 5, 2024, Makati City

February 29, 2024



PHILIPPINE DEALING SYSTEM HOLDINGS CORP.
PARENT COMPANY STATEMENTS OF FINANCIAL POSITION

	December 31	
	2023	2022
ASSETS		
Current Assets		
Cash and cash equivalents (Note 4)	₱92,193,381	₱87,406,415
Receivables (Note 5)	6,708,144	7,831,417
Due from subsidiaries	–	134,224
Financial assets at amortized cost (Note 8)	70,563,279	89,964,390
Other current assets (Note 6)	3,635,661	3,783,927
Total Current Assets	173,100,465	189,120,373
Noncurrent Assets		
Investment in subsidiaries (Note 7)	500,422,479	500,422,479
Financial assets at amortized cost (Note 8)	5,300,595	7,363,009
Property and equipment (Note 9)	223,933	343,689
Other noncurrent assets (Note 10)	7,991,740	6,435,676
Total Noncurrent Assets	513,938,747	514,564,853
	₱687,039,212	₱703,685,226
LIABILITIES AND EQUITY		
Current Liabilities		
Accrued expenses and other payables (Note 11)	₱2,861,070	₱2,522,203
Dividends payable	21,405,870	22,212,550
Lease liabilities (Note 15)	32,417	44,574
Total Current Liabilities	24,299,357	24,779,327
Noncurrent Liabilities		
Retirement and other post-employment benefit obligation (Note 16)	139,193	131,466
Total Liabilities	24,438,550	24,910,793
EQUITY		
Capital stock (Note 12)	625,000,000	625,000,000
Additional paid-in capital	26,317,786	26,317,786
Remeasurement losses on retirement and other post-employment benefit obligation (Note 16)	(122,744)	(86,585)
Retained earnings (Note 12)	11,405,620	27,543,232
Total Equity	662,600,662	678,774,433
	₱687,039,212	₱703,685,226

See accompanying Notes to Financial Statements.



PHILIPPINE DEALING SYSTEM HOLDINGS CORP.
PARENT COMPANY STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31	
	2023	2022
REVENUES		
Dividend income (Note 7)	₱333,840,447	₱373,238,008
Interest income (Notes 4, 5 and 8)	8,324,172	3,566,612
Other income (Note 4)	267,059	2,035,142
	342,431,678	378,839,762
COSTS AND OPERATING EXPENSES		
Directors' fees and honorarium	4,057,000	4,960,000
Professional fees	1,020,698	899,947
Salaries and employee benefits (Note 13)	829,302	901,835
Bank charges	346,687	376,671
Depreciation and amortization (Note 9)	209,402	176,766
Repairs and maintenance	145,070	63,744
Taxes and licenses	143,918	1,357,022
Utilities	93,042	142,814
Outside services	35,612	33,255
Supplies	20,410	14,176
Rent (Notes 15 and 22)	1,421	5,041
Travel	–	6,250
Others (Note 14)	46,505	39,748
	6,949,067	8,977,269
INCOME FROM OPERATIONS	335,482,611	369,862,493
Interest expense on lease liabilities (Note 15)	5,733	11,470
INCOME BEFORE INCOME TAX	335,476,878	369,851,023
PROVISION FOR INCOME TAX (Note 17)	1,614,490	557,412
NET INCOME	333,862,388	369,293,611
OTHER COMPREHENSIVE LOSS		
Item that will not be reclassified to profit or loss in subsequent periods:		
Remeasurement gains (losses) on retirement and other post-employment benefit obligation (Note 16)	(36,159)	701,906
TOTAL COMPREHENSIVE INCOME	₱333,826,229	₱369,995,517

See accompanying Notes to Financial Statements.



PHILIPPINE DEALING SYSTEM HOLDINGS CORP.**PARENT COMPANY STATEMENTS OF CHANGES IN EQUITY
FOR THE YEARS ENDED DECEMBER 31, 2023 AND 2022**

	Capital Stock (Note 12)	Additional Paid-in Capital	Remeasurement Gains (Losses) on Retirement and Other Post- employment Benefit Obligation (Note 16)	Retained Earnings (Note 12)	Total
Balances at January 1, 2023	₱625,000,000	₱26,317,786	(₱86,585)	₱27,543,232	₱678,774,433
Net income	—	—	—	333,862,388	333,862,388
Other comprehensive income	—	—	(36,159)	—	(36,159)
Total comprehensive income	—	—	(36,159)	333,862,388	333,826,229
Dividends declared (Note 12)	—	—	—	(350,000,000)	(350,000,000)
Balances at December 31, 2023	₱625,000,000	₱26,317,786	(₱122,744)	₱11,405,620	₱662,600,662
Balances at January 1, 2022	₱625,000,000	₱26,317,786	(₱788,491)	₱8,249,621	₱658,778,916
Net income	—	—	—	369,293,611	369,293,611
Other comprehensive income	—	—	701,906	—	701,906
Total comprehensive income	—	—	701,906	369,293,611	369,995,517
Dividends declared (Note 12)	—	—	—	(350,000,000)	(350,000,000)
Balances at December 31, 2022	₱625,000,000	₱26,317,786	(₱86,585)	₱27,543,232	₱678,774,433

See accompanying Notes to Financial Statements.

PHILIPPINE DEALING SYSTEM HOLDINGS CORP.
PARENT COMPANY STATEMENTS OF CASH FLOWS

	Years Ended December 31	
	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱335,476,878	₱369,851,023
Adjustments for:		
Interest income (Notes 4, 5 and 8)	(8,324,172)	(3,566,612)
Depreciation and amortization (Note 9)	209,402	176,767
Amortization of premium (discount) on financial assets at amortized cost (Note 8)	183,885	(306,575)
Interest expense on lease liabilities (Note 15)	5,733	11,470
Gain from disposal of a subsidiary (Note 7)	—	(1,916,893)
Changes in operating assets and liabilities:		
Decrease (increase) in:		
Receivables	1,033,666	1,003,645
Other current assets	135,693	(49,851)
Other noncurrent assets	(1,556,064)	(153,097)
Due from subsidiaries	—	(134,224)
Increase (decrease) in:		
Accrued expenses and other payables	338,867	458,088
Due to subsidiaries	134,224	(1,859,169)
Retirement and other post-employment benefit obligations	(28,432)	(81,621)
Net cash generated from operations	327,609,680	365,349,844
Interest received	8,413,779	3,394,184
Income taxes paid	(1,601,917)	(547,939)
Net cash provided by operating activities	334,421,542	366,279,126
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to:		
Financial assets at amortized cost	(215,113,896)	(239,273,600)
Property and equipment (Note 9)	(89,646)	(123,503)
Proceeds from maturity of:		
Financial assets at amortized cost	236,393,536	211,862,699
Net cash provided by (used in) investing activities	21,189,994	(27,528,471)
CASH FLOWS FROM FINANCING ACTIVITIES		
Payment of cash dividends (Note 12 and 21)	(350,806,680)	(343,565,546)
Payment of lease liabilities (Note 21)	(17,890)	(82,539)
Cash used in financing activities	(350,824,570)	(343,648,085)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	4,786,966	(4,897,360)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	87,406,415	92,303,775
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 4)	₱92,193,381	₱87,406,415

See accompanying Notes to Financial Statements.



PHILIPPINE DEALING SYSTEM HOLDINGS CORP.

PARENT COMPANY NOTES TO FINANCIAL STATEMENTS

1. Corporate Information

Status of operations

The Philippine Dealing System Holdings Corp. (PDSHC or the Parent Company) is a domestic corporation incorporated in the Philippines on April 24, 2001. The Parent Company holds 100.00% interests in Philippine Dealing & Exchange Corp. (PDEX) and 97.72% in Philippine Depository & Trust Corp. (PDTC). The Parent Company is the ultimate parent company.

The primary purpose of the Parent Company is to invest in, purchase, or otherwise hold, use, sell, assign, transfer, mortgage, pledge, exchange, or otherwise dispose of shares of stock in exchanges as defined in the Securities Regulation Code or other laws, as well as in one or more corporations which will provide depository, registry, clearing, settlement, custody, securities borrowing and lending, information technology, and other support services for the exchange or for the other exchanges of securities or monetary transactions or platforms.

The registered office of the Parent Company, which is also its principal place of business, is located at the 29th Floor, BDO Equitable Tower, 8751 Paseo de Roxas St., Makati City.

Merger of PDEX and PSSC

On November 9, 2021, the Board of Directors and stockholders of PDEX and PSSC approved the plan of merger between the two companies, which are both wholly-owned by the Parent Company.

Under the approved Articles of Merger, the effective date of the merger shall be the date when the Certificate of Filing of Articles and Plan of Merger shall have been issued and released by the SEC. On July 20, 2022, the SEC approved the Plan of Merger, with August 1, 2022 as the effective date of the merger (see Note 7).

Approval of Financial Statements

The financial statements were authorized for issue by the Parent Company's Board of Directors (BOD) on February 29, 2024.

2. Summary of Material Accounting Policy Information

Basis of Preparation

The financial statements have been prepared on a historical cost basis except for investment in money market funds that are measured at fair value. The Parent Company financial statements are presented in Philippine peso, the Parent Company's functional and presentation currency, and all values are rounded to the nearest Peso (₱ or 'Peso'), except when otherwise indicated.

Statement of Compliance

The financial statements of the Parent Company have been prepared in accordance with Philippine Financial Reporting Standards (PFRS).

Consolidated Financial Statements

The Parent Company also prepares consolidated financial statements, which are available at its principal place of business.



Current versus Non-current Classification

The Parent Company presents its statement of financial position based on current and non-current classification.

An asset is current when it is:

- expected to be realized or intended to be sold or consumed in the normal operating cycle;
- held primarily for the purpose of trading;
- expected to be realized within twelve months after the reporting period; or
- cash or a cash equivalent, unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

The Parent Company classifies all other assets as non-current.

A liability is current when:

- it is expected to be settled in the normal operating cycle;
- it is held primarily for the purpose of trading;
- it is due to be settled within twelve months after the reporting period; or
- there is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Parent Company classifies all other liabilities as non-current.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2023. The Company has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the financial statements of the Company.

- Amendments to PAS 12, *International Tax Reform-Pillar Two Model Rules*
- Amendments to PAS 12, *Deferred Tax related to Assets and Liabilities arising from a Single Transaction*
- Amendments to PAS 8, *Definition of Accounting Estimates*
- Amendments to PAS 1 and PFRS Practice Statement 2, *Disclosure of Accounting Policies*

Material Accounting Policy Information

Cash and Cash Equivalents

Cash and cash equivalents include cash on hand and in banks and short-term placements with original maturities of three months or less from dates of placements that are subject to insignificant risk of changes in value.



Financial Instruments

Date of recognition

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. The Parent Company recognizes a financial asset or a financial liability in the statement of financial position when it becomes a party to the contractual provisions of the instrument. In the case of a regular way purchase or sale of financial assets, recognition and derecognition, as applicable, is done using settlement date accounting.

Classification and measurement of financial instruments

Financial assets

Financial assets are classified, at initial recognition, as subsequently measured at amortized cost, fair value through other comprehensive income (FVOCI) and FVPL.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Parent Company's business model for managing them.

In order for a financial asset to be classified and measured at amortized cost or FVOCI, it needs to give rise to cash flows that are solely payment for principal and interest (SPPI) on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Parent Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in these categories:

- Financial assets at amortized cost
- Financial assets at FVOCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets at FVOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at FVPL

As of December 31, 2023 and 2022, the Parent Company has Financial assets at amortized cost.

Financial assets at amortized cost

This category is the most relevant to the Parent Company. The Parent Company measures financial assets at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.



The Parent Company's financial assets at amortized cost includes 'Cash and cash equivalents', 'Receivables', Security deposits and 'Financial assets at amortized cost'.

Reclassification of financial assets

The Parent Company can only reclassify financial assets if the objective of its business model for managing those financial assets changes. A change in the objective of the Parent Company's business model will be effected only at the beginning of the next reporting period following the change in the business model.

Financial liabilities

Financial liabilities are classified, at initial recognition, as financial liabilities at FVPL, and other financial liabilities, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

As of December 31, 2023 and 2022, the Parent Company has no outstanding financial liability as at FVPL.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Other financial liabilities

After initial recognition, these liabilities are subsequently measured at amortized cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the statement of comprehensive income.

The Parent Company's financial liabilities at amortized cost include 'Accrued expenses and other payables', 'Dividends payable' and 'Lease liabilities.'

Impairment of financial assets

The Parent Company recognizes an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Parent Company expects to receive, discounted at an approximation of the original effective interest rate.

ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For cash and cash equivalents and investment in debt securities, the Parent Company applies the low credit risk simplification. The Parent Company considers a debt financial asset to have low credit risk when its credit risk rating is equivalent to the definition of investment grade. At every reporting date, the Parent Company evaluates whether the debt instrument is considered to have low credit risk using all reasonable and supportable information that is available without undue cost or effort.



The Parent Company considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Parent Company may also consider a financial asset to be in default when internal or external information indicates that the Parent Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Parent Company.

A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously.

Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Parent Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a nonfinancial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Parent Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which the fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Parent Company determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.



For the purpose of fair value disclosures, the Parent Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Investment in Subsidiaries

Subsidiaries are entities over which the Group has control. Control is achieved when the Parent Company is exposed or has rights, to variable returns from its involvement with the investee and has the ability to affect the returns through its power over the subsidiary. Specifically, the Parent Company controls an investee if and only if the Parent Company has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee;
- Exposure or rights to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect its returns.

The Parent Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control.

The Parent Company's investments in subsidiaries are accounted for under the cost method of accounting in its separate financial statements. The Parent Company recognizes income from the investment only to the extent that it receives distributions from accumulated income of the subsidiary arising after the date of acquisition. Distributions received in excess of the accumulated income are regarded as a recovery of investment.

When the Company derecognizes an investment in subsidiary, the difference between the fair value of the considerations received and the carrying value of the investment in subsidiary is recognized in profit or loss.

Property and Equipment

Depreciable properties, such as office equipment and furniture and fixtures, are stated at cost less accumulated depreciation and any impairment in value.

The initial cost of property and equipment consists of its purchase price, including import duties, taxes and any directly attributable costs of bringing the asset to its working condition and location for its intended use. Expenditures incurred after items of property and equipment have been put into operation, such as repairs and maintenance, are normally charged as expense in profit or loss in the Parent Company statement of comprehensive income in the period in which the costs are incurred. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of property and equipment.

Depreciation is computed using the straight-line method over the estimated useful lives (EUL) of the respective assets.

EUL of property and equipment follow:

	Years
Office equipment	3-5
Furniture and fixtures	3-5

Leasehold improvements are amortized over the shorter of the terms of the covering leases and the EUL of the improvements of five years.



The EUL and the depreciation and amortization method are reviewed periodically to ensure that the period and the method of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property and equipment.

Fully depreciated property and equipment are retained in the accounts until these are no longer used and no further depreciation and amortization is charged to the statement of comprehensive income.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the profit or loss in the statement of comprehensive income in the year the asset is derecognized.

Impairment of Nonfinancial Assets

The Parent Company assesses at each reporting date whether there is an indication that the Parent Company's property and equipment and software and system development costs may be impaired. When an indicator of impairment exists or when an annual impairment testing for an asset is required, the Parent Company makes an estimate of recoverable amount. Recoverable amount is the higher of an asset's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets, in which case, the recoverable amount is assessed as part of the cash generating unit to which it belongs. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is recognized as an expense in profit or loss in the statement of comprehensive income in the period in which it arises.

A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss in the statement of comprehensive income.

Equity

Capital stock is measured at par value for all shares issued and outstanding. When the shares are sold at a premium, the difference between the proceeds and the par value is credited to 'Additional paid-in capital'. Direct costs incurred related to equity issuance, such as underwriting, accounting and legal fees, printing costs and taxes are chargeable to 'Additional paid-in capital'. If the 'Additional paid-in capital' is not sufficient, the excess is charged against the 'Retained earnings'. When the Parent Company issues more than one class of stock, a separate account is maintained for each class of stock.

Retained earnings represent accumulated earnings of the Parent Company less dividends declared.



Revenues outside the scope of PFRS 15

Interest

For financial assets measured at amortized cost, interest income is recognized on a time proportion basis using the applicable EIR.

Dividend

Dividend income on investments is recognized when the right to receive payment is established.

Expense Recognition

Operating expenses

Operating expenses constitute costs incurred related to advertising and administering the business, and are recognized when incurred.

Retirement and Other Post-employment Benefit Obligation

The Parent Company has a funded and noncontributory defined benefit retirement plan. In addition, the Parent Company has agreed to pay the cash equivalent of the accumulated unused vacation leave of the employees upon separation from the Parent Company.

The net retirement benefit obligation is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets, adjusted for any effect of limiting a net retirement benefit obligation to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The cost of providing benefits under the defined benefit plan is actuarially determined using the projected unit credit method. Defined benefit costs comprise service cost and net retirement benefit obligation.

Service costs, which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss in the statement of comprehensive income. Past service costs are recognized when plan amendment or curtailment occurs.

Net interest on the net retirement benefit obligation is the change during the period in the net retirement benefit obligation that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net retirement benefit obligation. Net interest on the net retirement benefit obligation is recognized as expense or income in profit or loss in the statement of comprehensive income.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of asset ceiling (excluding net interest on net retirement benefit obligation) are recognized immediately in Other Comprehensive Income (OCI) in the period in which they arise.

Remeasurements are not reclassified to profit or loss in the statement of comprehensive income in subsequent periods.



Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Parent Company, nor can they be paid directly to the Parent Company. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting net retirement benefit obligation is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Income Taxes

Current tax

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the tax authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretations and establishes provisions where appropriate.

Deferred tax

Deferred tax is provided, using the balance sheet liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognized for all deductible temporary differences, to the extent that it is probable that sufficient taxable profit will be available against which the deductible temporary differences.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax liabilities are recognized for all taxable temporary differences, including asset revaluations.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to offset current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same tax authority.

Current tax and deferred tax relating to items recognized directly in equity is also recognized directly in equity and not in the profit or loss.



Leases

Company as lessee

The Parent Company assesses at contract inception whether a contract is or contains a lease. A contract contains a lease if it conveys the right to control the use of an identified asset for a period of time in exchange for consideration. The Parent Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognizes lease liabilities to make lease payments and ROU assets representing the right-of-use on the underlying assets.

ROU assets

The Parent Company recognizes ROU assets (included in 'Property and Equipment') at the commencement date of the lease (i.e. the date the underlying asset is available for use). ROU assets are measured at costs, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of ROU assets includes the amount of lease liabilities recognized and lease payments made at or before the commencement date less any lease incentives received. ROU assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful life of the office and parking spaces of 5 years.

Lease liabilities

At the commencement date of the lease, the Parent Company recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Company uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest (included in 'Interest expense on lease liabilities') and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term or a change in the lease payments.

Short-term leases and leases of low-value assets

The Parent Company applies the short-term lease recognition exemption to its short-term leases of office spaces (i.e. those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be of low value (i.e., those with value of less than ₱250,000). Lease payments on short-term leases of low-value assets are recognized as expense on a straight-line basis over the lease term.

Provisions and Contingencies

Provisions

Provisions are recognized when an obligation (legal or constructive) is incurred as a result of a past event and where it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of resources embodying economic benefits will be required to settle an obligation, the provision is reversed.

Contingencies

Contingent assets are not recognized but are disclosed in the notes financial statements when an inflow of economic benefits is probable. Contingent liabilities are not recognized but are disclosed in the notes to financial statements unless the possibility of an outflow of resources embodying economic benefits is remote.



Events After the Reporting Period

Post year-end events that provide additional information about the Parent Company's financial position at the reporting date (adjusting event) are reflected in the financial statements. Post year-end events that are not adjusting events, if any, are disclosed in the notes to financial statements when material to the financial statements.

New Pronouncements that have been issued but are not yet Effective

Pronouncements issued but not yet effective are listed below. The Parent Company intends to adopt the following pronouncements when they become effective. Adoption of these pronouncements is not expected to have a significant impact on the Parent Company's financial statements, unless otherwise indicated.

Effective beginning on or after January 1, 2024

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current, Liabilities with Covenants*
- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*
- Amendments to PAS 7 and PFRS 7: *Disclosures: Supplier Finance Arrangements*

Effective beginning on or after January 1, 2025

- PFRS 17, *Insurance Contracts*
- Amendments to PAS 21, *Lack of exchangeability*

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

3. Significant Accounting Judgments and Estimates

The preparation of the Parent Company financial statements in accordance with PFRS requires the Parent Company to make judgment and estimates that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the Parent Company financial statements as these become reasonably determinable. Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The following are the critical judgments and key assumptions that have a significant risk of material adjustment to the carrying amounts of assets and liabilities within the next financial year:

Judgments

In the process of applying the Parent Company's accounting policies, management has made the judgments below which has the most significant effect on the amounts recognized in the financial statements:

Contingencies

The Parent Company is currently involved in legal proceedings and tax assessment. The estimate of the probable costs for the resolution of these claims have been developed in consultation with outside counsels handling the Parent Company's defense in these matters and is based upon an analysis of potential results. For the tax assessment, the Parent Company filed a letter of protest (ie. request for



reinvestigation). The Parent Company currently does not believe that these proceedings will have a material adverse effect on its financial position. It is possible, however, that future results of operations could be materially affected by changes in the estimates or in the effectiveness of the strategies relating to these proceedings (Note 22).

Estimates

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that has significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below:

a) Recognition of deferred tax assets

Deferred tax assets are recognized for deductible temporary differences. The Parent Company reviews the carrying amount of deferred tax assets at each reporting date and reduces it to the extent that it is no longer probable that sufficient future taxable profits will be available to allow all or part of the deferred tax assets to be utilized.

Based on the management's assessment, it is not probable that future taxable income will be available to utilize the deferred tax assets on certain deductible temporary differences as its revenues are primarily dividend income considered as tax-exempt and interest income that is subject to final withholding tax. The details of the unrecognized deferred tax assets are disclosed in Note 17.

b) Present value of retirement and other post-employment benefit obligation

The costs of retirement benefits and vacation leave benefits (payable upon separation from the Parent Company) are determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, salary increase rates, mortality rates and disability rates. While the Parent Company believes that the assumptions are reasonable and appropriate, significant differences in the actual experience or significant changes in the assumptions may materially affect the retirement and other post-employment obligations.

The assumed discount rates were determined using the market yields on Philippine government bonds with terms consistent with the expected employee benefit payout at each reporting date. The salary increase rate is the management's best estimate of future salary increase based on historical information and forecast. The mortality rate is based on publicly available mortality tables for the Philippines and is modified accordingly with estimates of mortality improvements. The disability rate is based on the published disability study of the Society of Actuaries.

As of December 31, 2023 and 2022, the present values of the Parent Company's retirement and other post-employment benefit obligation follow (Note 16):

	2023	2022
Retirement plan	₱760,198	₱759,588
Leave benefit plan	25,774	20,923



4. Cash and Cash Equivalents and Investment in Money Market Funds

This account consists of:

	2023	2022
Cash in banks	₱5,897,828	₱8,331,448
Short-term placements	86,295,553	79,074,967
	₱92,193,381	₱87,406,415

Cash in banks consists of regular current and savings deposits that earn interest at the respective bank deposit rates. Short-term placements earn interest rates ranging from 1.25% to 6.00% and from 0.06% to 3.88% in 2023 and 2022, respectively. Interest income earned on cash and cash equivalents amounted to ₱4.70 million and ₱1.06 million in 2023 and 2022, respectively.

5. Receivables

This account consists of:

	2023	2022
Advances to subsidiaries' employees - current portion	₱6,494,314	₱7,514,867
Accrued interest receivable	200,090	289,697
Others	13,740	26,853
	₱6,708,144	₱7,831,417

Advances to employees and subsidiaries' employees pertain to advances made by the Parent Company for the employees' health care benefit and employee loans with maturities of three months to two years and bear interest of 0.83% per month. Interest income earned on these loans amounted to ₱0.23 million and ₱0.21 million in 2023 and 2022, respectively.

As of December 31, 2023 and 2022, advances to employees and subsidiaries' employees due beyond one year amounted to ₱1.47 million and ₱0.38 million, respectively (Note 10).

6. Other Current Assets

This account consists of:

	2023	2022
Creditable withholding taxes	₱3,598,152	₱3,570,115
Prepayments	24,052	22,761
Security deposits (Note 19)	13,457	191,051
	₱3,635,661	₱3,783,927



7. Investment in Subsidiaries

As of December 31, 2023 and 2022, the carrying values of investment in subsidiaries accounted for under the cost method are as follows:

	% of ownership	Amount
PDTC	97.72	₱286,005,586
PDEx	100.00	214,416,893
		500,422,479

On November 9, 2021, the BOD of the PDEx approved the issuance to the Company of 145,287 shares with par value of ₱100 per shares in accordance with the plan of merger (see Note 1), subject to the completion of the regulatory approvals. On July 20, 2022, the SEC approved the Plan of Merger, effectively completing the merger of PDEx and PSSC. Accordingly, the Parent Company received shares in PDEx amounting to ₱14.42 million, in exchange for PSSC's shares amounting to ₱12.50 million. Gain on derecognition of a subsidiary a result of the transaction amounted to ₱1.92 million, included under "Other income" in the statements of comprehensive income.

In 2023 and 2022, the Parent Company recognized dividend income amounting to ₱333.84 million and ₱373.23 million, respectively, from the dividends declared and paid by PDTC in 2023 and PDEx and PDTC in 2022.

The following tables present the summarized financial information of the Parent Company's subsidiaries as of and for the years ended December 31, 2023 and 2022:

2023					
Statement of Financial Position			Statement of Income		
	Total Assets	Total Liabilities	Revenue*	Gross Income**	Net Income
Subsidiaries:					
PDTC	₱983,867,181	₱137,289,160	₱848,232,878	₱508,356,506	₱352,034,505
PDEx	341,774,647	71,044,140	165,452,863	52,510,191	4,877,161
	₱1,325,641,828	₱208,333,300	₱1,013,685,741	₱560,866,697	₱356,911,666

*Revenue is equivalent to service revenue plus other income.

**Gross income is equivalent to revenue less cost of services.

2022					
Statement of Financial Position			Statement of Income		
	Total Assets	Total Liabilities	Revenue*	Gross Income (Loss)**	Net Income (Loss)
Subsidiaries:					
PDTC	₱989,762,282	₱153,841,669	₱836,496,698	₱510,779,652	₱352,495,316
PDEx	337,668,538	71,958,897	139,224,277	22,458,718	(17,102,447)
	₱1,327,430,820	₱225,800,566	₱975,720,975	₱533,238,370	₱335,392,869

*Revenue is equivalent to service revenue plus other income.

**Gross income is equivalent to revenue less cost of services.



8. Financial Assets at Amortized Cost

This account consists of:

	2023	2022
Government debt securities	₱69,823,018	₱89,761,505
Corporate debt securities	6,040,856	7,565,894
	₱75,863,874	₱97,327,399

As of December 31, 2023 and 2022, the Parent Company has investments in Philippine government securities amounting to ₱69.82 million and ₱89.76 million, respectively. These investments earn EIRs of 0.70% to 6.00% and 0.70% to 3.90% in 2023 and 2022, respectively. All of the outstanding investment in government debt securities as of December 31, 2023 and 2022 are due within one year.

Interest income earned on these investments, including amortization of premium and discount, amounted to ₱3.12 million and ₱1.99 million in 2023 and 2022, respectively.

The Parent Company also has outstanding placements amounting to ₱6.04 million and ₱7.57 million as of December 31, 2023 and 2022, respectively, evidenced by promissory notes issued by RCBC Rental Corporation. These placements earn interest rates of 4.00% in 2023 and 2022. Interest income earned from these placements amounted to ₱0.27 million and ₱0.31 million in 2023 and 2022, respectively.

The expected settlement of these placements as of December 31, 2023 and 2022 follow:

	2023	2022
Due within one year	740,261	₱202,885
Due beyond one year	5,300,595	7,363,009
	₱6,040,856	₱7,565,894



9. Property and Equipment

The composition of and movements in property and equipment follow:

	2023				
	Office Equipment	Furniture and Fixtures	Leasehold Improvement	Right-of-use - Asset Leasehold	Total
Cost					
Balances at beginning of year	₱1,320,486	₱11,826	₱211,476	₱514,463	₱2,058,251
Additions	82,909	–	9,399	–	92,308
Others	–	–	–	(2,662)	(2,662)
Balances at end of year	1,403,395	11,826	220,875	511,801	2,147,897
Accumulated Depreciation					
Balances at beginning of year	1,137,037	11,826	151,620	414,079	1,714,562
Depreciation and amortization	96,537	–	45,388	67,477	209,402
Balances at end of year	1,233,574	11,826	197,008	481,556	1,923,964
Net Book Value at End of Year	₱169,821	₱–	₱23,867	₱30,245	₱223,933

	2022				
	Office Equipment	Furniture and Fixtures	Leasehold Improvement	Right-of-use - Asset Leasehold	Total
Cost					
Balances at beginning of year	₱1,202,930	₱11,826	₱211,462	₱508,530	₱1,934,748
Additions	117,556	–	14	5,933	123,503
Balances at end of year	1,320,486	11,826	211,476	514,463	2,058,251
Accumulated Depreciation					
Balances at beginning of year	1,073,989	11,826	105,377	346,603	1,537,795
Depreciation and amortization	63,048	–	46,243	67,476	176,767
Balances at end of year	1,137,037	11,826	151,620	414,079	1,714,562
Net Book Value at End of Year	₱183,449	₱–	₱59,856	₱100,384	₱343,689

As of December 31, 2023 and 2022, the cost of fully depreciated property and equipment still in use amounted to ₱1.06 million and ₱1.04 million, respectively.



10. Other Noncurrent Assets

This account consists of:

	2023	2022
Input Value Added Tax (VAT)	₱6,217,348	₱5,920,965
Advances to employees (Note 5)	1,466,379	384,292
Security deposits (Note 19)	308,013	130,419
Balance at end of year	₱7,991,740	₱6,435,676

Input VAT represents VAT imposed on the Parent Company by its suppliers for the acquisition of goods and services as required by Philippine taxation laws and regulations. This will be used to offset the Parent Company's current output VAT liabilities or will be claimed as tax credits.

As of December 31, 2023 and 2022, the Security deposits include fully provided assets amounting to ₱5.67 million.

11. Accrued Expenses and Other Payables

This account consists of:

	2023	2022
Withholding tax payable	₱995,527	₱859,185
Taxes and licenses	55,034	91,380
Others	1,810,509	1,571,638
	₱2,861,070	₱2,522,203

Others include accruals for various operating expenses such as utilities, outside services, rent and other expenses which are individually immaterial.

12. Capital Stock

As of December 31, 2023 and 2022, this account consists of:

	Number of Shares	Amount
Common stock - ₱100 par value		
Authorized	₱7,500,000	₱750,000,000
Issued and outstanding	6,250,000	625,000,000

On February 24, 2022, the BOD of the Parent Company approved and authorized the declaration of cash dividends amounting to ₱350.00 million to stockholders on record as of December 31, 2021, payable on or before March 31, 2022.

On February 23, 2023, the BOD of the Parent Company approved and authorized the declaration of cash dividends amounting to ₱350.00 million to stockholders on record as of December 31, 2022, payable on or before March 31, 2023.



13. Salaries and Employee Benefits

This account consists of:

	2023	2022
Salaries and wages	₱704,333	₱770,635
Retirement benefits (Note 16)	63,443	112,152
Social security costs	18,627	29,520
Fringe benefit tax	4,948	5,035
Leave benefits (Note 16)	1,115	2,884
Others	36,836	(18,391)
	₱829,302	₱901,835

Others include meals and transportation, insurance and other employee-related activities which are individually immaterial.

14. Other Operating Expenses

This account includes representation and meetings.

15. Leases

The Parent Company is a lessee under non-cancellable leases covering the PDS Group's office and parking spaces. The lease contracts are for periods ranging from one (1) to five (5) years and some are renewable at the Parent Company's option under certain terms and conditions. Some lease contracts include escalation clauses, which bear an annual rent increase of 5.00%. As of December 31, 2023, the Parent Company has no contingent rent payable.

On September 14, 2021, the PDS Group entered into a new lease agreement with its lessor extending the existing lease contract that will end on December 31, 2021. The new lease agreement is effective on January 1, 2022, with a term of 2 years and renewable for another year at the Company's option under certain terms and conditions. The extension option has an escalation rate of 5% from the lease rate of the recent preceding year. The Company further extended the lease agreement for another 2 years, effective from January 1, 2024.

As of December 31, 2023 and 2022, the carrying amount of lease liabilities amounted to ₱0.03 million and ₱0.04 million, respectively. The movements of lease liabilities are disclosed in Note 21.

The following are the amounts recognized in the statements of comprehensive income:

	2023	2022
Amortization expense of right-of-use assets included		
under property and equipment (Note 9)	₱67,477	₱67,476
Interest expense on lease liabilities	5,733	11,470
Expenses relating to short-term leases	1,421	5,041
	₱74,631	₱83,987



Shown below is the maturity analysis of the undiscounted lease payments as of December 31, 2023 and 2022:

	2023	2022
Within 1 year	₱54,051	₱88,923
More than 1 year to 2 years	—	31,907

16. Retirement and Other Post-employment Benefit Obligation

The Parent Company has a funded and noncontributory defined benefit retirement plan covering substantially all its officers and regular employees. Under this retirement plan, all covered officers and employees are entitled to cash benefits after satisfying certain age and service requirements. The Parent Company's annual contribution to the retirement plan consists of a payment covering the current service cost, amortization of the unfunded actuarial accrued liability and interest on such unfunded actuarial liability.

The existing regulatory framework, Republic Act 7641, *Retirement Pay Law*, requires companies with at least ten employees to pay retirement benefits to qualified private sector employees in the absence of any retirement plan in the entity, provided however, that the employee's retirement benefits under any collective bargaining and other agreements shall not be less than those provided under the law. The law does not require minimum funding of the plan.

In addition, the Parent Company has agreed to pay the cash equivalent of the accumulated unused vacation leave of the employees upon separation from the Parent Company. As of January 1, 2013, the accumulation of leave credits under the Parent Company's leave benefit plan has been discontinued.

The amounts of retirement and other post-employment benefit obligation as of December 31, 2023 and 2022 recognized in the Parent Company statements of financial position follow:

	Retirement Plan		Leave Benefit Plan	
	2023	2022	2023	2022
Present value of the obligation	₱760,198	₱759,588	₱25,774	₱20,923
Fair value of plan assets	646,779	649,045	—	—
Benefit obligation	₱113,419	₱110,543	₱25,774	₱20,923

Changes in the present value of the defined benefit obligation.

	Retirement Plan		Leave Benefit Plan	
	2023	2022	2023	2022
Balance at beginning of year	₱759,588	₱1,438,261	₱20,923	₱68,672
Current service cost	59,152	74,603	—	—
Interest cost	46,299	70,185	1,115	2,884
Benefits paid	(101,034)	(80,291)	(4,150)	—
Remeasurement losses (gains) due to:				
Experience adjustments	(3,807)	(648,121)	7,886	(50,633)
Changes in demographic assumptions	—	—	—	—
Changes in financial assumptions	—	(95,049)	—	—
Balance at end of year	₱760,198	₱759,588	₱25,774	₱20,923



Changes in the fair value of the retirement plan assets for 2023 and 2022 follow:

	2023	2022
Balance at beginning of year	₱649,045	₱591,940
Contributions	88,840	196,657
Interest income	42,008	32,636
Remeasurements	(32,080)	(91,897)
Benefits paid	(101,034)	(80,291)
Balance at end of year	₱646,779	₱649,045

The plan assets of the Parent Company are as follows:

	2023	2022
Cash and cash equivalents	₱124,189	₱243,117
Government securities	457,998	345,128
Equity securities:		
Holding companies	21,642	20,748
Real estate	14,655	13,064
Telecommunications	6,684	8,028
Power and utilities	6,170	4,069
Food	5,963	5,693
Bank	4,394	4,450
Manufacturing	—	864
Accrued interest and other receivables	5,845	3,975
Other assets	32	342
Trust fees payable	(793)	(433)
	₱646,779	₱649,045

The Parent Company's plan assets are carried at fair value. All equity and debt instruments held have quoted prices in an active market. The fair value of other assets and liabilities, which include deposit in banks, accrued interest and other receivables, and trust fees payable, approximate the carrying amounts due to the short-term nature of these accounts.

Under PFRS, certain post-employment benefit plans are considered as related parties. The Parent Company's retirement plan is in the form of a trust administered by a trustee bank. The Parent Company does not have transactions with its retirement plan other than the normal contributions and benefits payment coming from the retirement plan.

The Parent Company expects to contribute ₱0.08 million to its retirement plan in 2024.

Shown below is the maturity analysis of the undiscounted benefit payments as at December 31, 2023 and 2022:

	2023	2022
Less than one year	₱35,910	₱125,094
One to less than five years	543,710	536,932
Five to less than ten years	565,770	312,506
Ten to less than fifteen years	360,089	709,768
Fifteen years to less than twenty years	255,845	572,675
Twenty years and above	269,902	386,838



The amounts of retirement benefits expense included in ‘Salaries and employee benefits’ in the statements of comprehensive income in 2023 and 2022 amounted to ₱63,443 and ₱112,152, respectively (Note 13).

The cost of defined benefit retirement plan, as well as the present value of the benefit obligation, are determined using on actuarial valuation. The actuarial valuation involves making various assumptions. The principal assumptions for the retirement plan and the leave benefit plan are shown below:

Date of Actuarial Valuation Report	Actuarial Assumptions		
	Average Remaining Working Life	Salary Increase Rate	Discount Rate
Retirement Plan			
December 31, 2023	7	5.00%	6.04%
December 31, 2022	7	6.00%	7.12%
Leave Benefit Plan			
December 31, 2023	7	5.00%	5.99%
December 31, 2022	7	6.00%	6.65%

The actual return on plan assets of the Parent Company in 2023 and 2022 amounted to ₱9,928 and (₱59,261), respectively.

The retirement obligation is subject to several key assumptions. Below is a sensitivity analysis which has been determined based on reasonably possible changes of each significant assumption on the retirement benefit obligation as of the end of the reporting period, assuming all other assumptions were held constant:

Sensitivity Analysis of the Present Value of the Obligation (PVO) to Changes in Assumption			
	Increase of 1%	Actual	Decrease of 1%
December 31, 2023			
Discount rate	₱720,530	₱760,198	₱803,986
Salary increase rate	806,858	760,198	717,184
December 31, 2022			
Discount rate	₱721,023	₱759,588	₱802,291
Salary increase rate	804,882	759,588	717,995

As of December 31, 2023 and 2022, the average duration of the defined benefit obligation is 7.55 years and 8.41 years, respectively.



17. Income Taxes

Income taxes include the corporate income tax, as discussed below, and final tax paid at the rate of 20.00% on gross interest income from cash deposits and short-term placements. These income taxes, as well as the deferred tax benefits and provisions, are presented as 'Provision for income tax' in the Parent Company's statements of comprehensive income.

Provision for income tax consists of:

	2023	2022
Final	₱1,601,917	₱547,939
MCIT	12,573	9,473
	₱1,614,490	₱557,412

As of December 31, 2023 and 2022, the Parent Company did not recognize the deferred tax assets on the following temporary differences, as the management believes that it is not reasonably probable that the tax benefits of these will be realized in the future.

	2023	2022
NOLCO	₱25,587,148	₱19,433,573
Allowance for impairment losses	5,666,150	5,666,150
Accrued retirement and leave benefits	112,025	104,298
Excess of MCIT over RCIT	50,372	37,799

The Parent Company has incurred NOLCO which can be claimed as deduction from the regular taxable income for the next three (3) consecutive taxable years immediately following the year of such loss, as follows:

Inception Year	Amount	Expired	Balance	Expiry Year
2020	₱5,239,513	₱—	₱5,239,513	2025*
2021	7,100,431	—	7,100,431	2026*
2022	7,093,629	—	7,093,629	2025
2023	6,153,574	—	6,153,574	2026
	₱25,587,148	₱—	₱25,587,148	

*The NOLCO can be carried over as a deduction from gross income for the next five consecutive taxable years from the year it was incurred pursuant to Revenue Regulations No. 25-2020 (RR 25-2020), implementing Section 4(bbbb) of Republic Act No. 11494 or the Bayanihan to Recover as One Act.

Details of the excess MCIT over RCIT of the Parent Company follow:

Year Incurred	Amount	Expired	Balance	Expiry Year
2020	₱21,212	₱—	₱21,212	2025
2021	7,114	—	7,114	2024
2022	9,473	—	9,473	2025
2023	12,573	—	12,573	2026
	₱50,372	₱—	₱50,372	



A reconciliation of the statutory income tax to the provision for income tax follows:

	2023	2022
Statutory income tax	₱83,869,220	₱92,462,756
Tax effects of:		
Nontaxable income	(83,441,952)	(93,788,188)
Income subjected to final tax	(354,508)	(136,985)
Changes in unrecognized deferred tax assets	1,541,730	560,078
Expired NOLCO and MCIT	—	1,459,751
Provision for income tax	₱1,614,490	₱557,412

18. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or to exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subjected to common control or common significant influence. Related parties may be individuals or corporate entities.

The Parent Company, in the ordinary course of business, has entered into transactions with its subsidiaries principally consisting of reimbursement of expenses and advances for working capital purposes. The advances are payable on demand.

Transactions with related parties are settled in cash. The transactions with related parties as of and for the years ended December 31, 2023 and 2022 follow:

2023			
Accounts	Volume of Transactions	Outstanding Balance	Terms of Condition/Nature
Key Management Personnel Compensation			
Salaries and wages	₱212,250	—	Composed of salaries and wages, and retirement and leave benefits amounting to ₱0.19 million and ₱0.02 million, respectively.
2022			
Accounts	Volume of Transactions	Outstanding Balance	Terms of Condition/Nature
Subsidiaries			
PDEX	₱67,112	₱67,112	Outstanding receivable from PDEX for reimbursement of expenses and is non-interest bearing.
PDTC	67,112	67,112	Outstanding receivable from PDTC for reimbursement of expenses and is non-interest bearing.
Key Management Personnel Compensation			
Salaries and wages	316,744	—	Composed of salaries and wages, and retirement and leave benefits amounting to ₱0.28 million and ₱0.04 million, respectively.



19. Financial Instruments and Fair Value Measurement

Shown below are the Parent Company's assets and liabilities as they appear on the statements of financial position, which are divided into financial and nonfinancial items, with the financial items being mapped to the categories of financial instruments under PFRS 9:

	2023				
	Financial Assets at Amortized Cost	Financial Assets at FVPL	Other Financial Liabilities	Nonfinancial Items	Total
ASSETS					
Cash and cash equivalents	₱92,193,381	₱–	₱–	₱–	₱92,193,381
Receivables	6,708,144	–	–	–	6,708,144
Other current assets	13,457	–	–	3,622,204	3,635,661
Financial assets at amortized cost	75,863,874	–	–	–	75,863,874
Investment in subsidiaries	–	–	–	500,422,479	500,422,479
Property and equipment	–	–	–	223,933	223,933
Other noncurrent assets	1,774,392	–	–	6,217,348	7,991,740
Total Assets	₱176,553,248	₱–	₱–	₱510,485,964	₱687,039,212
LIABILITIES					
Accrued expenses and other payables	₱–	₱–	₱1,707,989	₱1,153,081	₱2,861,070
Dividends payable	–	–	21,405,870	–	21,405,870
Lease liabilities	–	–	32,417	–	32,417
Retirement and other post-employer benefit obligation	–	–	–	139,193	139,193
Total Liabilities	₱–	₱–	₱23,146,276	₱1,292,274	₱24,438,550

	2022				
	Financial Assets at Amortized Cost	Financial Assets at FVPL	Other Financial Liabilities	Nonfinancial Items	Total
ASSETS					
Cash and cash equivalents	₱87,406,415	₱–	₱–	₱–	₱87,406,415
Receivables	7,831,417	–	–	–	7,831,417
Due from subsidiaries	134,224	–	–	–	134,224
Other current assets	191,051	–	–	3,592,876	3,783,927
Financial assets at amortized cost	97,327,399	–	–	–	97,327,399
Investment in subsidiaries	–	–	–	500,422,479	500,422,479
Property and equipment	–	–	–	343,689	343,689
Other noncurrent assets	514,711	–	–	5,920,965	6,435,676
Total Assets	₱193,405,217	₱–	₱–	₱510,280,009	₱703,685,226
LIABILITIES					
Accrued expenses and other payables	₱–	₱–	₱1,503,518	₱1,018,685	₱2,522,203
Dividends payable	–	–	22,212,550	–	22,212,550
Lease liabilities	–	–	44,574	–	44,574
Retirement and other post-employer benefit obligation	–	–	–	131,466	131,466
Total Liabilities	₱–	₱–	₱23,760,642	₱1,150,151	₱24,910,793

The table below shows the Parent Company's financial assets and their fair value hierarchy:

	2023			
	Carrying Value	Level 1	Level 2	Level 3
Assets for which fair values are disclosed				
Financial assets at amortized cost:				
Security deposits	₱321,470	₱–	₱–	₱320,054
Financial assets at amortized cost	75,863,874	4,968,829	64,854,189	6,040,856



	Carrying Value	2022		
		Level 1	Level 2	Level 3
Assets for which fair values are disclosed				
Financial assets at amortized cost:				
Security deposits	₱331,738	₱—	₱—	₱311,865
Financial assets at amortized cost	97,327,399	89,761,505	—	7,565,894

In 2023 and 2022, there were no transfers between fair value levels.

The methods and assumptions used by the Parent Company in estimating the fair value of its financial instruments as of December 31, 2023 and 2022 follow:

Cash and cash equivalents, Receivables and Accrued expenses and other payables - Carrying amounts approximate fair values due to the relatively short-term maturity of these instruments.

Financial assets at amortized cost - Fair values of investments in government securities are based on quoted market prices. For notes receivable, fair values are based on discounted value of future cash flows using current lending rates for similar types of instruments.

Security deposits - Fair values are based on discounted value of future cash flows using current lending rates for similar types of instruments.

20. Financial Risk and Capital Management Policies and Objectives

The Parent Company does not engage in trading activities nor take positions in equity, foreign exchange and securities other than investment in government and private debt securities in the course of managing its cash and liquidity position and purchase of foreign exchange to service some of its foreign currency-denominated obligations.

The following provides the overall risk management principles and process that govern the risk management of the Parent Company.

Risk Management Structure

The Parent Company's risk management process hinges on the following principles:

- The BOD establishes the Parent Company's risk philosophy and culture, approves the risk policies and sets the risk appetite.
- The Executive Committee (Excom) is accountable to the BOD for the risks taken by the business.
- The risk takers of each business initially identify and evaluate market, product or service opportunities, subject to further evaluation of the Risk Management Group (RMG) and other specific risk function groups, such as Product Committee and Legal and Compliance, for the attendant risks.
- Management of risks is done in a coordinated manner within the Parent Company.
- The RMG is an independent function reporting to the Risk Oversight Committee (ROC) where the Parent Company's Chief Risk Officer (CRO) is a member.



Risk Management Organization

The Parent Company's risk management organization consists of the following:

1. The BOD is the risk policy maker and approving authority of the Parent Company. The BOD has created and appointed Standing Committees with at least one independent director to assist in performing its functions. Standing Committees include the following:
 - a. Risk Oversight Committee
The ROC is a board-level committee that sets the policy standards and guidelines for the management and assessment of group-wide risk, with the ultimate objective of ascertaining that risk exposures of the Parent Company fall within the capital collectively available and allocated to the different entities.
 - b. Audit Committee
The Audit Committee has oversight of the financial reporting process, internal control process and hiring and evaluating the performance of external auditors.
 - c. Information Technology Steering Committee
The Information Technology Steering Committee (ITSC) has oversight of IT Group to ensure delivery of service to all business units, and institute appropriate actions to ensure the achievement of desired results. It approves the IT Strategic Plans, ensures management of IT risks, as well as regulatory compliance, among others.
2. The RMG defines the control environment framework in line with regulations and internal policies. It identifies, evaluates and measures risks and exposures attendant to the products and services provided by each company in the group. It establishes standards to control, monitor and report compliance with its recommended limits. The RMG supports the business to implement remedial actions.

Complementing the RMG is the Product Committee that reviews existing and proposed products to ensure that all risk-taking personnel have properly identified and analyzed the relevant risks. It recommends to the Excom the approval of a proposed product for further approval of the Board.
3. The Operations Support, Legal and Compliance, Financial Control and the Audit groups support the Parent Company's risk management function in risk control. They operate independently of the business units and the risk management functions.
 - a. Operations Support group performs risk reporting, through generation of risk reports, and the control process of risk management.
 - b. Legal and Compliance group ensures that all laws and regulations are complied with and contracts entered into by the Parent Company are enforceable.
 - c. Financial Control group ensures that expenses and revenues are within the budget and properly approved and monitored.
 - d. Audit group independently reviews and tests the control framework and report to management about the adequacy and effectiveness of the control environment.
4. The risk takers are the officers of respective business units handling the products. These business units identify markets, services, or product opportunities and sponsor product or service developments or proposals.



Credit Risk

Credit risk is the risk of loss arising from the default or failure of counterparties to meet their contractual obligations to the Parent Company. The Parent Company's counterparties include its banks.

The degree of credit risk depends on the credit standing of the counterparty and on the duration, amount and nature of the exposure that the Parent Company has to that counterparty. The Parent Company manages and controls its credit exposure to its banks by actively monitoring the counterparty standing.

As at the end of each reporting period, the credit quality of the Parent Company's cash and cash equivalents, investment in debt securities, receivables, and security deposits that are neither past due nor impaired were determined to be high grade and are in stage 1 of the ECL model.

Cash and cash equivalents, investment in money market funds and investment in debt securities are considered as high-grade credit as these are placements and deposits with top-tier Philippine banks and investment in debt securities issued by the Bureau of Treasury (BTr) of the Republic of the Philippines. These are considered to be low credit risk investments.

Maximum exposure to credit risk

The Parent Company's maximum exposure to credit risk, without taking into account any collateral held or other credit enhancements, equals the carrying values of financial assets.

Collateral and other credit enhancements

The amount and type of collateral required depends on the assessment of the credit risk of the borrower or counterparty. As of December 31, 2023 and 2022, the Parent Company has no collateral held and other credit enhancements.

Liquidity Risk

Liquidity risk is the risk of loss (financial and nonfinancial) arising from the Parent Company being unable to settle an obligation for full value when due.

The Parent Company's exposure to liquidity risk is maintained at a minimum since the level of cash is sufficient to fund its accrued expenses and other payables to third parties that are payable on demand.

Capital Management

The Parent Company's capital is composed of paid-up capital stock and retained earnings amounting to ₱0.66 billion and ₱0.68 billion as of December 31, 2023 and 2022, respectively.

The Parent Company's capital management activities seek to ensure that it maintains a healthy capital ratio in order to support its businesses and maximize shareholders value by optimizing the level and mix of its capital resources. Decisions on the allocation of capital resources are being performed as part of the strategic planning review.

The Parent Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Parent Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes during the years ended December 31, 2023 and 2022.



The Parent Company's objective is to ensure that there are no known events that may trigger direct or contingent financial obligation that is material to the Parent Company, including default or acceleration of an obligation.

The Parent Company is not subject to externally imposed capital requirements.

21. Notes to Statements of Cash Flows

The table below provides for the changes in liability arising from financing activities in 2023 and 2022:

	2023		
	Dividends payable	Lease liabilities	Total liabilities from financing activities
Balance at beginning of the year	₱22,212,550	₱44,574	₱22,257,124
Additions (i.e. dividends declared, new leases)	350,000,000	—	350,000,000
Accretion of interest	—	5,733	5,733
Payments during the year	(350,806,680)	(17,890)	(350,824,570)
Balance at end of the year	₱21,405,870	₱32,417	₱21,438,287

	2022		
	Dividends payable	Lease liabilities	Total liabilities from financing activities
Balance at beginning of the year	₱15,778,096	₱109,710	₱15,887,806
Additions (i.e. dividends declared, new leases)	350,000,000	5,933	350,005,933
Accretion of interest	—	11,470	11,470
Payments during the year	(343,565,546)	(82,539)	(343,648,085)
Balance at end of the year	₱22,212,550	₱44,574	₱22,257,124

22. Commitments, Contingencies and Others

The following are the significant commitments involving the Parent Company:

The Parent Company, being part of PDS Group, is among the named respondents in a Petition for Certiorari and Prohibition filed by various petitioners with the Supreme Court on August 22, 2013.

The Petition likewise impleaded Government entities – the Philippine Securities and Exchange Commission (“SEC”), the Bangko Sentral ng Pilipinas (“BSP”), the Secretary of Finance, and the National Treasurer. It also impleaded the Bankers’ Association of the Philippines (BAP) and Vicente B. Castillo.

The Petition alleges there was ‘grave abuse of discretion’ and seeks to render null and void government issuances that supposedly enabled the PDS Group to operate as a Fixed Income Exchange for fixed income instruments and government securities, as well as act as the Self-Regulatory Organization (SRO) for the OTC market. It questions the OTC trading of government securities passing through PDS Group’s trading system and the collection of fees and charges.



The Petition included an application for a Temporary Restraining Order, which was never issued.

The Petition does not seek to hold the Respondents or any of the individual officers of the PDS Group liable for damages.

The different respondents, including the Government agencies and officers, filed their respective Comment to the Petition in late 2013 and early 2014. All the Respondents deny that there was “grave abuse of discretion” and ask that the petition be rejected.

On June 2014, the petitioners filed a Consolidated Reply in response to all of the Comments by the respondents.

In a Resolution dated March 3, 2020, the Supreme Court required the parties to “move in the premises” – or to inform the Honorable Court of developments that may be pertinent to the case for its disposition.

The petitioner, the Government agencies and offices, the Parent Company and its subsidiaries and Mr. Vicente Castillo have filed their respective submission in compliance with the Supreme Court’s directive.

The Honorable Court, in general may (a) require the parties to submit further pleadings, (b) set the case for oral arguments, or (c) resolve the Petition.

The BAP for itself and on behalf of its member banks as well as the Parent Company and its subsidiaries have signed a memorandum letter addressed to the Petitioners to adopt a roadmap that all OTC secondary market trading of government securities will cease to use the PDS Group infrastructure, primarily aiming to address and settle the main legal issues raised by the Petitioners in the subject case.

The final terms of the actual agreement are subject to further agreement by the parties, the BAP, the Parent Company and its subsidiaries, the Public Respondents and the approval of the Supreme Court.

On August 23, 2022, the PDS Group received the decision dated March 29, 2022 promulgated by the Supreme Court En Banc dismissing the petition for the petitioners’ lack of legal standings and violation of constitutional filtering mechanism of hierarchy of courts.

On July 31, 2023, the PDS Group received an Entry of Judgement dated September 13, 2022 certifying that the decision dated March 29, 2022 dismissing the petition has become final and executory on September 13, 2022 and it is recorded in the Books of Entries of Judgements.

23. Subsequent Events

On February 29, 2024, the BOD of PDSHC and PDTC approved and authorized the declaration of cash dividends amounting to ₱300.00 million and ₱307.00 million, respectively, to stockholders on record as of December 31, 2023.



24. Supplementary Information Required Under Revenue Regulations (RR) 15-2010

In compliance with the requirements set forth by RR 15-2010, hereunder are the information on taxes and licenses paid or accrued during the taxable year.

Value added tax (VAT)

Revenues, expenses, and assets are recognized net of the amount of VAT, if applicable.

When VAT from sales of goods and/or services (output VAT) exceeds VAT passed on from purchases of goods or services (input VAT), the excess is recognized as payable in the statement of financial position. When VAT passed on from purchases of goods or services (input VAT) exceeds VAT from sales of goods and/or services (output VAT), the excess is recognized as an asset in the statement of financial position to the extent of the recoverable amount.

- a. The Parent Company is a VAT-registered company with output VAT declaration of ₱0.04 million for the year based on the other revenues actually received amounting to ₱0.33 million.
- b. Input VAT for 2023 follow:

	Amount
Balance at beginning of year	₱5,920,965
Current year's purchases/payments:	
Services lodged under cost of services	281,604
Capital goods not subject to amortization	870
Capital goods subject to amortization	—
Goods other than for resale or manufacture	—
	6,203,439
Less: Input VAT claimed as deduction against output VAT	13,909
Balance at end of year	₱6,217,348

Taxes and Licenses

This includes all other taxes, local and national, incurred in 2023 as follows:

	Amount
Local taxes	₱140,809
Others	3,109
	₱143,918



Withholding Taxes

	Total Remittance	Outstanding Balance
Final withholding taxes	₱8,115,861	₱894,974
Withholding taxes on compensation and benefits	443,349	93,054
Expanded withholding taxes	17,539,948	7,499
	₱26,099,158	₱995,527

Tax Assessments

On September 5, 2016, the Parent Company received a Final Assessment Notice (FAN) from the BIR for the taxable year 2011 relating to deficiency in income tax and VAT with total assessment value of ₱14.16 million (inclusive of interest, penalty and surcharges.)

The Parent Company submitted the supporting documents to its letter of protest (i.e. request for reinvestigation) on December 1, 2016. As of February 29, 2024, the Parent Company is awaiting final assessment from the BIR and has the option to elevate the case to the Court of Tax Appeals (CTA) 30 days upon receipt of the final assessment from the BIR.



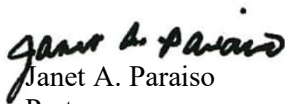
INDEPENDENT AUDITOR'S REPORT

The Board of Directors and Stockholders
Philippine Dealing System Holdings Corp.
29th Floor, BDO Equitable Tower
8751 Paseo De Roxas St.
Makati City

We have audited the parent company financial statements of Philippine Dealing System Holdings Corp. (the Parent Company) as at December 31, 2023 and for the year ended, on which we have rendered the attached report dated February 29, 2024.

In compliance with the Revised Securities Regulation Code Rule 68, we are stating that the Parent Company has seventy-four (74) stockholders owning one hundred (100) or more shares each.

SYCIP GORRES VELAYO & CO.



Janet A. Paraiso

Partner

CPA Certificate No. 92305

Tax Identification No. 193-975-241

BOA/PRC Reg. No. 0001, August 25, 2021, valid until April 15, 2024

BIR Accreditation No. 08-001998-062-2023, October 23, 2023, valid until October 22, 2026

PTR No. 10079894, January 5, 2024, Makati City

February 29, 2024



**STATEMENT OF MANAGEMENT'S RESPONSIBILITY
FOR FINANCIAL STATEMENTS**

The management of **PHILIPPINE DEALING SYSTEM HOLDINGS CORP.** (the Company) is responsible for the preparation and fair presentation of the financial statements including the schedules attached therein, for the years ended December 31, 2023 and 2022, in accordance with the prescribed financial reporting framework indicated therein, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

The Board of Directors reviews and approves the financial statements including the schedules attached therein, and submits the same to the stockholders.

SyCip Gorres Velayo & Co., the independent auditors appointed by the stockholders, has audited the financial statements of the Company in accordance with Philippine Standards on Auditing, and in its report to the stockholders, has expressed its opinion on the fairness of presentation upon completion of such audit.


CEZAR P. CONSING
Chairman


RAMON S. MONZON
President and
Chief Executive Officer


STEPHANIE MARIE A. ZULUETA
Executive Director - Finance
and Treasurer

Signed this 29th day of February, 2024.